

Index!

THE CORE OF your investment portfolio should be a low-cost, passive index.

The advantages of indexing have been thoroughly proven, both academically and in actual practice. These include:

1. Lower costs (and taxes).
2. Owning all the winners.
3. Better long-term performance.
4. Simplicity.
5. Less bad behavior.

Indexing should be a core part of your investment strategy. Here is why.

Costs

Investors can own any broad index you can imagine, from the S&P 500 to the MSCI Global, for a mere few basis points. Active management is no longer as crazy pricey as it once was (e.g., 200 basis points); it has come down in cost to the 50 to 100 bps neighborhood. Regardless, those fees compounded over decades will be a return drag between 20% and 30% of the total account value. (This is to say nothing of the 2 & 20 cost structure of alternatives.)

The logic is unassailable: Costs matter, and high costs matter a lot.

In a sea of superlatives, one number stands above all others: \$1 trillion.^{[407](#)} That is the “Vanguard Effect,” a phrase coined by my Bloomberg colleague Eric Balchunas in 2016. He calculated how much investors have saved thanks to Jack Bogle and the Vanguard Group’s low costs. He also added how much the company has driven down fees in the rest of the money-